

FOR OLD PRIVILEGE
Government employees of the Pension Bachao Manch demand restoration of the OPS in Lucknow, Mar. '22

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election issue as it affects 8.5 million state and central government employees currently under the NPS. But why are so many averse to the NPS?

WHAT'S BETTER, OPS OR NPS?

Under the OPS, retired government employees receive 50 per cent of their last-drawn salary as monthly pension, which increases with hikes in dearness allowance rates and salaries as per Pay Commission recommendations. On their death, the spouse gets 30 per cent of the pension. After retirement, an employee gets up to Rs 14 lakh as annuity. Under the OPS, employees do not have to contribute from their salaries to the pension they will draw after retirement. NPS, on the other hand, is a market-linked contribution-based pension scheme that facilitates the accumulation of a pension corpus during one's working life, taking contributions from both the employee and the employer. Under the NPS, employees contribute 10 per cent from their salary every month, and the government pitches in with up to 14 per cent. On superannuation, the employee gets 40 per cent of the amount as annuity, and 60 per cent of this accumulated corpus as a lump sum in a one-time settlement. Employee unions say that unlike the OPS, employees covered under the NPS have no idea about the monthly amount they will get as pension.

THE CLAMOUR HAS PROMPTED A RELOOK AT THE NPS TO OFFER A MINIMUM GUARANTEED PENSION MODEL TO EMPLOYEES

The move back to OPS by some states has both political and economic implications. It works well for short- and mid-term gains as it saves money for the state governments for 12 years or so before returning as a huge liability